

surprises the casinos might have in store for me. I wanted to first prove that the system worked in practice rather than try to make an enormous amount of money. So I talked them down to starting with \$10,000. I started out by betting \$1 on the bad hands and a maximum of \$10 on the good hands. It drove them crazy because they were looking to make some big money. I discipline myself and paced myself. It was a lesson about managing money that stuck with me forever after.

Which was?

Don't bet more than you are comfortable with. Just take your time until you're ready. After about eight hours of betting \$1 to \$10, I got comfortable. I then went to \$2 to \$20 for about two hours, and that felt comfortable. Next I went to \$10 to \$50 for about one hour until that felt comfortable. Then I upped it to \$25 to \$300 and got used to that after an hour or two. Finally, I increased it to \$50 to \$500—you couldn't bet any higher than \$500. I played for a total of about 20 hours at the two higher levels and predicted that my \$10,000 bankroll should about double during that time. We actually made \$11,000, which was extremely close to the prediction.

How did you make the transition from roulette and blackjack to looking for edges in the market?

Knowing that people were wrong about casino games being unbeatable made me stop and think. If you can beat roulette and you can beat blackjack, what else is there? The next game I looked at was baccarat. I could prove that the main game was not beatable, but the side bets were. At that time, I had moved from MIT to Mexico State University. I took a trip with the head of the math department, the university comptroller, and our wives to test out this baccarat system in the casinos.

I tried to be inconspicuous, but on our first night at the baccarat table, I was recognized by one of the readers of my book, who said, "Hey, that's the guy who wrote the book." The casino people overheard this, and one of them ran over to the phone to call upstairs for instructions. He came back to the table laughing and told the pit boss, "Let them play. This idiot thinks that just because he can win at blackjack, he can win at baccarat. We'll show him a thing or two."